WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

MALDIVES

Asia

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Malé	Capital and commercial centre; seat of government, the central bank and the main banks, and site of the planned Maldives International Financial Centre	Financial services, trade, construction, professional services
Velana International Airport (Hulhulé)	National gateway; a new terminal costing nearly $585 million opened in July 2025, raising capacity to 7.5 million passengers a year from 1.5 million	Aviation services, logistics, hospitality, retail
Hulhumalé	Reclaimed urban extension next to the airport, absorbing population growth and new commercial development for Greater Malé	Real estate, housing, healthcare, education, retail
Resort atolls	Home to around 183 resorts that generate the bulk of the country's foreign-currency earnings, with tourism earnings of about $5.6 billion in 2025	Luxury tourism, hospitality management, marine services, renewable energy
Maldives International Financial Centre (MIFC), Malé	Planned $8.8 billion financial free zone over 780,000 sq m, developed with Dubai-based MBS Global Investments and offering zero corporate tax	Financial services, fintech, offices, residential, hospitality
Special Economic Zones and Sustainable Townships	Amended SEZ regime (2025) for projects of at least $500 million, including integrated tourism, real-estate, health and training developments	Integrated resorts, high-end real estate, healthcare, education

INVESTOR ENTRY ROUTES

- Invest Maldives, under the Ministry of Economic Development and Trade, is the government's investment promotion and facilitation channel and handles foreign investment registration
- Foreign Investment Act, ratified in September 2024 to replace the 1979 law, with Foreign Investment Entry Requirements classifying sectors as fully open, joint venture with local partners, or reserved, and transition periods of one to seven years for existing investors
- Special Economic Zones Act, amended in November 2025: projects of at least $500 million, income tax of 5% for the first 10 years and 10% for the following decade, and import-duty exemption on capital goods
- Maldives International Financial Centre, a planned financial free zone in Malé offering zero corporate tax, tax-free inheritance and no residency requirements

- Resort and island leasing for tourism development, the country's principal and most established foreign-investment route
- Maldives Monetary Authority oversight of the rufiyaa, pegged at MVR 15.42 per US dollar; since 1 September 2026, Category A tourism businesses must convert 40% of monthly gross foreign-currency sales through licensed banks

MARKET-ENTRY OBSERVATION

The Maldives in October 2026 is one of Asia's most successful tourism economies, with a record of more than 2 million visitor arrivals in 2025 and tourism earnings of about $5.6 billion. GDP grew an estimated 5.4% in 2025 (ADB), and the government has turned its attention to diversifying the investor base. The new Foreign Investment Act gives clearer sector rules; the amended Special Economic Zones Act offers 5% income tax for a decade on large integrated projects; and the planned $8.8 billion Maldives International Financial Centre aims to build a financial-services sector in Malé. The $585 million Velana airport terminal, opened in July 2025, has multiplied passenger capacity fivefold and supports the next phase of tourism growth.

The main structural challenge is external financing. Public debt stood at about 130% of GDP at the end of 2025, and the IMF and World Bank both judge the risk of debt distress to be high. The government has shown its commitment to meeting obligations: it repaid a $500 million sukuk in full on 2 April 2026, and Fitch upgraded the sovereign rating in June 2026. Partner support remains strong, with India rolling over its ₹30 billion currency swap from 23 October 2026. The Middle East conflict has slowed tourism, and growth is projected at about 1% in 2026 before recovering to 3% in 2027. Gross reserves were $686.8 million at the end of June 2026, while usable reserves were 23% higher than a year earlier. The IMF has noted improved resilience and easing FX shortages. For investors, the government's need for foreign currency and private capital creates openings in tourism, energy and infrastructure, provided projects are structured to manage currency rules.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Foreign-exchange availability and conversion rules	Since 1 September 2026, resorts must convert 40% of monthly gross foreign-currency sales at the official rate, and dollars remain scarce, with a parallel rate above MVR 20	Model conversion and FX access in project cash flows, take local legal and banking advice early, and favour structures with strong dollar revenues
Public debt and sovereign financing needs	Public debt was about 130% of GDP at end-2025, and the IMF and World Bank rate debt-distress risk as high	The 2026 sukuk was repaid in full, Fitch upgraded the rating, and India's swap support continues; the state's financing needs open roles for private capital in PPPs and infrastructure
Reserve buffers	Gross reserves were $686.8 million at end-June 2026 after the sukuk repayment, though usable reserves were 23% higher than a year earlier	Partner swap lines and FX regulatory reforms are rebuilding buffers; monitor MMA monthly data as part of treasury planning
Concentration on tourism	Tourism drives the economy, and the 2026 Middle East conflict has slowed arrivals and raised fuel costs, with growth projected at about 1% for 2026	Diversified source markets led by China, Russia and the UK, a recovery forecast of 3% for 2027 and new airport capacity support medium-term demand
Frequency of fiscal and regulatory change	The tourism sector has seen several new measures in a short period, including a higher green tax, 17% tourism GST and changes to lease fees	Seek stability provisions in investment agreements, engage through industry bodies, and build policy-change scenarios into financial models
Sector restrictions on foreign ownership	The Foreign Investment Act reserves some activities for Maldivians, including wholesale and retail trade, construction below $15 million and real estate below $100 million	Focus on open sectors or form joint ventures with local partners; large tourism, energy and SEZ projects remain fully open
Climate exposure of a low-lying island nation	Rising sea levels and coastal erosion are long-term considerations for assets on low-lying islands	Apply climate-resilient design and insurance; resilience, coastal protection and renewable energy are themselves

Issue	Potential Impact	Possible Mitigation
		growing investment opportunities

INVESTOR RISK NOTE

The Maldives offers a world-class tourism franchise, strong partner support and a government actively opening new investment channels through the Foreign Investment Act, the amended Special Economic Zones regime and the planned Maldives International Financial Centre. The country is not subject to international sanctions. The main considerations are financial: public debt of about 130% of GDP, thin reserve buffers and tight foreign-exchange availability. The authorities have responded with FX regulations, including the 40% conversion requirement for resorts in force since 1 September 2026, which investors must build into cash-flow planning. The full repayment of the $500 million sukuk in April 2026, Fitch's subsequent upgrade, India's continuing swap support and IMF recognition of improved resilience all show a commitment to meeting obligations. Investors with strong dollar revenues, sound local advice and prudent FX structuring are well placed to benefit as tourism recovers from the 2026 slowdown.

MARKET ACCESS

The Maldives is a member of the World Trade Organization and of the South Asian Association for Regional Cooperation (SAARC), and draws on the SAARC currency swap framework with India. Its free trade agreement with China has been in force since January 2025, and talks on a trade agreement with India have been reported. The economy is primarily an exporter of tourism services, with China, Russia and the United Kingdom the three largest visitor markets in 2025, alongside fish and seafood exports. The expanded Velana International Airport, with capacity for 7.5 million passengers a year, is the country's main gateway, and the Maldives' position on major Indian Ocean shipping lanes between the Gulf and East Asia supports its ambitions for a financial and logistics hub.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
President's Office (President Dr Mohamed Muizzu)	Sets economic and investment policy and has championed the MIFC and the Special Economic Zones reforms	Primary reference point for strategic direction on large-scale projects
Ministry of Economic Development and Trade / Invest Maldives	Administers the Foreign Investment Act, foreign investment registration and investment promotion	Standard first point of contact for market entry and sector eligibility
Maldives Monetary Authority (MMA)	Central bank; manages the rufiyaa peg, reserves and the foreign-exchange conversion regime	Essential for understanding FX rules, conversion obligations and banking matters
Ministry of Finance	Manages public debt, the budget and tax policy, including tourism taxes and PPP frameworks	Relevant for fiscal incentives, PPPs and tax treatment
Ministry of Tourism	Regulates resort development, island leasing and tourism licensing	Key counterpart for any hospitality or island-development investment
Maldives Airports Company Limited (MACL)	State company operating Velana International Airport and its new terminal	Counterpart for aviation, airport-services and logistics opportunities
Maldives International Financial Centre (MIFC)	Planned financial free zone developed with Dubai-based MBS Global Investments	Prospective structuring venue for financial-services and fintech investment

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Maldives Association of Tourism Industry (MATI), representing most of the country's resorts, is the leading private-sector voice and a valuable source of insight on the tourism regulatory environment. Invest Maldives provides investor outreach and sector guidance. The Asian Development Bank, the World Bank and the IMF engage closely with the government on growth, debt and reform, and Gulf development funds from Abu Dhabi,

Saudi Arabia and Kuwait, together with the OPEC Fund, co-financed the new Velana airport terminal. India remains a principal financial partner through its currency swap support, and international hotel groups operating in the Maldives offer practical market intelligence.

INVESTOR PROFILE BEST SUITED

The Maldives is best suited to investors with dollar-denominated revenues and a long-term view: international hotel groups and hospitality investors building on a world-class tourism brand; developers of large integrated resorts and real-estate projects able to meet the $500 million SEZ threshold; renewable energy and infrastructure investors addressing high fuel import costs and airport-linked logistics; and financial-services and fintech firms considering an early position in the planned MIFC. All investors should plan carefully for foreign-exchange conversion rules and work with experienced local advisers.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Invest Maldives and confirm sector eligibility
Check where the project sits under the Foreign Investment Entry Requirements (open, joint venture or reserved) and register with the Ministry of Economic Development and Trade.

STEP 2: Build foreign-exchange rules into the financial model
Take local legal and banking advice on the 40% conversion requirement and FX access, and test debt service and repatriation under conservative assumptions.

STEP 3: Assess SEZ and MIFC incentives for large projects
For projects of $500 million or more, evaluate the 5% income tax and duty exemptions under the amended Special Economic Zones Act, and follow MIFC development milestones.

STEP 4: Target opportunities created by the financing gap
Explore PPPs and private investment in renewable energy, infrastructure and tourism, where the state's need for foreign capital creates openings.

STEP 5: Build relationships with industry bodies and development partners
Engage MATI, the ADB and the World Bank to track policy changes, co-financing options and the tourism recovery forecast for 2027.